

SENATE No. 1973

The Commonwealth of Massachusetts

PRESENTED BY:

James B. Eldridge

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act relative to affordable housing and environmental adaptation dollars.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	
<i>James B. Eldridge</i>	<i>Middlesex and Worcester</i>	
<i>James K. Hawkins</i>	<i>2nd Bristol</i>	<i>2/11/2025</i>
<i>Jason M. Lewis</i>	<i>Fifth Middlesex</i>	<i>2/27/2025</i>
<i>Vanna Howard</i>	<i>17th Middlesex</i>	<i>3/24/2025</i>
<i>Liz Miranda</i>	<i>Second Suffolk</i>	<i>4/18/2025</i>
<i>Sal N. DiDomenico</i>	<i>Middlesex and Suffolk</i>	<i>5/28/2025</i>
<i>Patricia D. Jehlen</i>	<i>Second Middlesex</i>	<i>6/11/2025</i>
<i>John F. Keenan</i>	<i>Norfolk and Plymouth</i>	<i>7/31/2025</i>
<i>Michael D. Brady</i>	<i>Second Plymouth and Norfolk</i>	<i>10/28/2025</i>

SENATE No. 1973

By Mr. Eldridge, a petition (accompanied by bill, Senate, No. 1973) of James B. Eldridge, James K. Hawkins and Jason M. Lewis for legislation relative to the imposition of an excise tax to provide for climate change adaptation infrastructure and affordable housing investments in the Commonwealth. Revenue.

[SIMILAR MATTER FILED IN PREVIOUS SESSION
SEE SENATE, NO. 1799 OF 2023-2024.]

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to affordable housing and environmental adaptation dollars.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Section 35GGG of chapter 10 of the General Laws, as appearing in the
2 2022 Official Edition, is hereby amended by inserting after the word “year”, in line 96, the
3 following words:- ; provided further, that said limitation shall not apply to funds deposited in the
4 fund pursuant to section 1 of chapter 64D; provided further, that the amounts expended shall be
5 allocated with due consideration given to: (1) environmental justice populations as defined in
6 section 62 of chapter 30; (2) a reasonable distribution of resources across the commonwealth;
7 and (3) other factors in the interests of justice. Before making grants or loans for the upcoming
8 fiscal year, the secretary of energy and environmental affairs shall develop a spending plan no
9 later than August 1. The spending plan shall be posted to a publicly accessible website in a
10 machine readable format.

11 SECTION 2. Section 1 of chapter 64D of the General Laws, as so appearing, is hereby
12 amended by striking out the words “two dollars” each time they appear and inserting in place
13 thereof the following words:- two dollars and twenty eight cents, plus an additional and separate
14 fee of one dollar and fourteen cents that shall be deposited on the first day of February into the
15 Global Warming Solutions Trust Fund established by section 35GGG of chapter 10, plus an
16 additional and separate fee of sixty-eight cents that shall be deposited into the Affordable
17 Housing Trust Fund as established by section 2 of chapter 121D, plus an additional and separate
18 fee of forty-six cents that shall be deposited into the Housing Preservation and Stabilization Trust
19 Fund as established by section 60 of chapter 121B; provided, further, that all monies deposited in
20 the Global Warming Solutions Trust in accordance with this section shall support the planning
21 and implementation of policy recommendations required in each of the Commonwealth’s Clean
22 Energy and Climate plans or development and initiation of programs pursuant to sections 5 and 6
23 of chapter 8 of the acts of 2021; provided further, that funds deposited in the Global Warming
24 Solutions Trust in accordance with this section shall prioritize investments with environmental
25 justice populations as defined in section 62 of chapter 30; provided further, that the expenditure
26 of funds deposited in the Affordable Housing Trust Fund, Housing Preservation and Stabilization
27 Trust Fund, Global Warming Solutions Trust in accordance with this section shall prioritize
28 investments with consideration of regional equity.

29 SECTION 3. Section 6 of chapter 62 of the General Laws, as so appearing, is hereby
30 amended by adding the following subsections:-

31 (ee) (1) As used in this subsection, the words contained in this subsection shall have the
32 same meanings as the definitions in subsection (k).

(2) A taxpayer shall be allowed a credit equal to 25 per cent of a payment made pursuant to section 1 of chapter 64D against the taxes imposed by this chapter if that person sold their residence during the taxable year. If the amount of the credit allowed under this subsection exceeds the taxpayer's tax liability, the commissioner shall treat the excess as an overpayment and shall pay the taxpayer the entire amount of the excess without interest.

(3) The credit shall be available only if the taxpayer is low-income as defined pursuant to section 1 of chapter 40T.

(4) No credit shall be allowed for a married individual unless a joint return is filed.

(5) No credit shall be allowed by this subsection with respect to the sale on more than one residence of any taxpayer during any taxable year.

(6) Any credit provided by this subsection shall not be counted as income in determining eligibility or benefits under any other means-tested assistance program, including but not limited to all such cash, food, medical, housing, energy and educational assistance programs.

(ff) (1) As used in this subsection, the following words shall have the same meaning as the definitions in subsection (k).

(2) A taxpayer shall be allowed a credit equal to 25 per cent of a payment made pursuant to section 1 of chapter 64D against the taxes imposed by this chapter if the taxpayer sold their residence during the taxable year to a first-time home buyer; provided, further, that if there are multiple persons recorded on the deed all persons must be first-time homebuyers for the taxpayer to be allowed this credit.

(3) No credit shall be allowed for a married individual unless a joint return is filed.

(4) No credit shall be allowed by this subsection with respect to the sale on more than one residence of any taxpayer during any taxable year.

(5) Any credit provided by this subsection shall not be counted as income in determining eligibility or benefits under any other means-tested assistance program, including but not limited to all such cash, food, medical, housing, energy and educational assistance programs.

SECTION 4. Said section 1 of said chapter 64D, as so appearing, is hereby further amended by striking out, in line 15, the words “one dollar and fifty cents” and inserting in place thereof the following words:- one dollar and seventy-one cents, plus an additional and separate fee of eighty-six cents that shall be deposited into the Global Warming Solutions Trust Fund established by said section 35GGG of said chapter 10, plus an additional and separate fee of fifty-one cents that shall be deposited into the Affordable Housing Trust Fund as established by section 2 of chapter 121D, plus an additional and separate fee of thirty-four cents that shall be deposited into the Housing Preservation and Stabilization Trust Fund as established by section 60 of chapter 121B; provided, however, that all monies deposited in the Global Warming Solutions Trust in accordance with this section shall support the planning and implementation of policy recommendations required in each of the Commonwealth’s Clean Energy and Climate plans pursuant to Sections 5, and development and initiation of programs required in Section 6, of Chapter 8 of the Acts of 2021; provided further, that priority shall be given to investments in environmental justice populations as defined in Section 62 of Chapter 30; provided further, that the amounts deposited in said trust funds shall be reduced proportionately by the amounts of aggregate amount of the credits claimed under subsection (ee) and subsections (ff) of section 6 of chapter 62 during the previous calendar year; provided further, that the expenditure of funds deposited in Affordable Housing Trust Fund and Housing Preservation and Stabilization Trust

Fund in accordance with this section shall prioritize investments with consideration of regional equity.

SECTION 5. Said section 1 of said chapter 64D, as so appearing, is hereby further amended by striking out, in line 20, the words “in said Funds” and inserting in place thereof the following words:- received pursuant to this chapter, except for the monies collected and deposited in the Global Warming Solutions Trust Fund established by said section 35GGG of chapter 10, the Affordable Housing Trust Fund established by section 2 of chapter 121D, and the Housing Preservation and Stabilization Trust Fund established by section 60 of chapter 121B.

SECTION 6. Section 10 of said chapter 64D, as so appearing, is hereby amended by inserting after the word “commonwealth,” in line 2, the following words:- except for the monies collected and deposited into the separate funds as required by this chapter.

SECTION 7. Section 60 of chapter 121B of the General Laws, as so appearing, is hereby amended by inserting after the word, “homeless”, in line 21, the following words:- provided further, that the amounts expended shall be allocated with due consideration given to: (1) racial justice; (2) a reasonable distribution of resources across the commonwealth; and (3) other factors in the interests of justice.

SECTION 8. Said section 60 of said chapter 121B, as so appearing, is hereby further amended by inserting after the word, “plan”, in line 23, the following words:- , developed in consultation with racial justice-oriented stakeholders and the Massachusetts Association of Regional Planning Agencies,.

97 SECTION 9. Subsection (e) of said section 60 of said chapter 121B, as so appearing, is
98 hereby amended by inserting after the fifth sentence the following sentence:- The spending plan
99 shall be posted to a publicly accessible website in a machine readable format.

100 SECTION 10. Section 2 of chapter 121D of the General Laws, as so appearing, is hereby
101 amended by inserting after the word “Development”, in line 11, the following words:- provided
102 further, that the amounts expended shall be allocated with due consideration given to: (1) racial
103 justice; (2) a reasonable distribution of resources across the commonwealth; and (3) other factors
104 in the interests of justice. Before making grants or loans for the upcoming fiscal year, the agency,
105 in consultation racial justice-oriented stakeholders and the Massachusetts Association of
106 Regional Planning Agencies, shall develop a spending plan no later than August 1. The spending
107 plan shall be posted to a publicly accessible website in a machine readable format.

108 SECTION 11. Section 23 of chapter 546 of the acts of 1969 is hereby repealed.

109 SECTION 12. This act shall take effect on January 1, 2026.